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DJIA 44254.78 ▲ 231.49 0.53% NASDAQ 20730.49 ▲ 0.3% STOXX 600 541.84 ▼ 0.6% 10-YR. TREAS. ▲ 8/32, yield 4.454% OIL \$66.38 ▼ \$0.14 GOLD \$3,352.50 ▲ \$22.70 EURO \$1.1643 YEN 147.89

What's News

Business & Finance

◆ **Trump consulted** with Republican lawmakers this week about the possibility of firing Fed Chairman Jerome Powell, but said Wednesday it remained “highly unlikely” he would move to dismiss him. **A1**

◆ **U.S. stocks reversed** early losses after the president’s statement, sending the Nasdaq to a gain of 0.3% and a record, while the S&P 500 and Dow rose 0.3% and 0.5%, respectively. **B1, B11**

◆ **Goldman Sachs’s profit** jumped 22% as it led a broad surge in trading revenue across Wall Street in the second quarter, fueled by market volatility set off by Trump’s tariffs. **A1**

◆ **ASML shares closed** 11% lower in Amsterdam after the semiconductor-equipment supplier said it could no longer guarantee growth in 2026 in a climate of tariff-induced uncertainty. **B1**

◆ **Ford recalled about** 694,000 vehicles because of a risk that possible fuel leaks could cause a fire, adding to its record-breaking recall tally this year. **B1**

◆ **Alcoa reported** a higher second-quarter profit and said it mitigated U.S. aluminum tariff costs by redirecting Canadian aluminum to customers outside of the U.S. **B3**

◆ **Diageo said** Chief Executive Officer Debra Crew stepped down and that CFO Nik Jhangiani would assume her role on an interim basis. **B1**

◆ **J&J boosted its** full-year outlook as it factored in a lower impact from tariffs and posted better-than-expected profit and sales for the second quarter. **B3**

World-Wide

◆ **New details in the** probe of last month’s Air India crash are shifting the focus to the senior pilot in the cockpit, with a black-box recording and a report indicating that the captain switched off fuel to the aircraft’s engines shortly before the plane went down. **A1**

◆ **A White House-backed** shake-up at Health and Human Services saw the departure from the department of two top aides to Robert F. Kennedy Jr. **A4**

◆ **President Trump** lashed out at his own supporters for opposing his administration’s decision not to release more material from the investigation into convicted sex offender Jeffrey Epstein. **A4**

◆ **The Justice Department** fired Maureen Comey, the daughter of former FBI Director James Comey. The veteran prosecutor was involved in cases including those of Jeffrey Epstein and Ghislaine Maxwell. **A3**

◆ **A former New York City** Police commissioner filed a lawsuit alleging that Mayor Eric Adams and other top officials engaged in racketeering, wire fraud and obstruction of justice. **A3**

◆ **A new version of a** European air-defense system is set to challenge the dominance of the Patriot interceptor and test whether the Continent can wean itself off U.S. weapons. **A16**

◆ **A court in Beijing** sentenced a Japanese pharmaceutical executive to 3½ years in prison on charges of espionage, highlighting the legal risks run by foreign businesspeople in China. **A16**

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Sectarian Strife in Syria Prompts Israel Airstrikes



CRISIS: Druze people from Israel and Syria protested at the countries’ border in the Israeli-controlled Golan Heights on Wednesday amid clashes in southern Syria. Israel carried out airstrikes in Damascus that it said were aimed at protecting the Druze. **A7**

Goldman Sachs Profit Surges On Higher Trading Revenue

By ANNA MARIA ANDRIOTIS

Goldman Sachs’s profit jumped 22% as it led a broad surge in trading revenue across Wall Street in the second quarter, fueled by market volatility set off by President Trump’s tariffs.

Big banks have been raking in trading fees as investors have repositioned for Trump’s tariffs, which remain in flux. Even before Trump’s “Liberation Day” tariffs were announced in early April, trading activity was heightened because of uncertainty about the

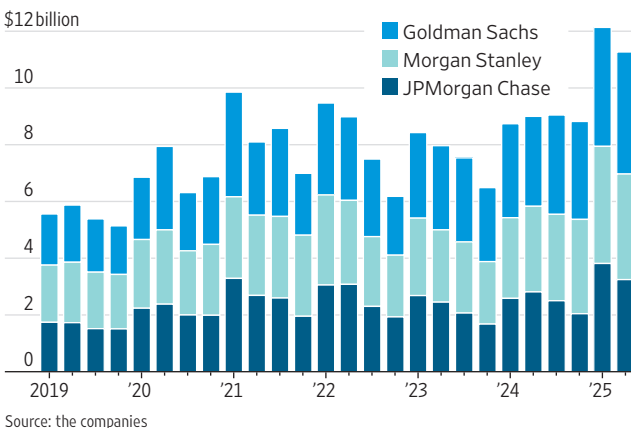
president’s policies.

While investment-banking performance was mixed, several large banks including Goldman Sachs and JPMorgan Chase, also saw a bump in dealmaking activity in the second quarter.

Bankers cited an improvement in CEO confidence since the beginning of the quarter and said corporate clients are feeling more comfortable about pursuing mergers and initial

◆ Postcrisis rules for bank safety on the way out.... B1

Equity-trading revenue, quarterly



De Beers Battles Diamond Price Plunge

CEO decries ‘huge con’ in lab-grown stones; fights to save brand from decline

By JENNY STRASBURG AND SUZANNE KAPNER

De Beers chief executive Al Cook wants to save a generation of lovers and newlyweds from what he calls a “huge con” when it comes to buying diamonds.

In the process, he hopes to rescue his iconic brand—and perhaps the diamond industry as it has existed for more than a century—from an ominous decline.

London-based De Beers almost single-handedly persuaded generations of consumers that love wasn’t genuine unless it was sealed with a diamond. The

stones were prized not only for their beauty but also as a miracle of nature formed over a billion years deep in the earth, and then extracted in exotic locales—often on behalf of De Beers.

Now diamonds can be made in labs that mimic the earth’s extreme pressure and temperatures, but for a fraction of the price. A decade ago, such man-made gems were novel. Today they are mainstream, and increasingly challenging the perception of diamonds as a luxury accessory.

Walmart sold its first lab-grown diamonds in 2022, but now the stones

make up half of its diamond jewelry assortment.

Signet Jewelers, which says it is the world’s largest retailer of diamond jewelry, with brands that include Kay Jewelers, Zales and Jared, is partnering with De Beers to extol the virtues of natural diamonds in a new marketing campaign. But last month, Signet said it, too, has been adding more lab-grown diamonds to its fashion jewelry, which was among the factors helping to pull the company out of a prolonged sales slump.

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The London Tube ‘Feels Like Hell.’ Efforts to Cool It Make It Hotter.

Engineers have tried giant blocks of ice, industrial fans and more, to no avail

By ANVEE BHUTANI

LONDON—A century ago, the London Underground wooed passengers during the summer with the promise it was “cooler below.” That seems like a cruel joke today.

“It genuinely feels like hell down there,” said Hussein Zaaiteer, a London-based student. “It’s a free sauna on the Central line,” he joked, referring to one of the Tube’s hottest train lines.

Riding the Tube during the summer has long been an unpleasant, sweaty experience. The bad news for Londoners is that the Tube isn’t just hot, it’s getting hotter. And figuring out how to cool it down presents challenges that air conditioning can’t easily fix.

Engineers have spent decades trying everything from industrial fans to giant blocks of ice to temper the swelter-

ing subterranean climate, but a remedy remains elusive.

Heat has been steadily building below the surface ever since the world’s oldest underground transportation system opened in 1863. Across all lines, average temperatures increased by 1 to 3 degrees Celsius over the past 10 years, according to measurements from Transport for London.

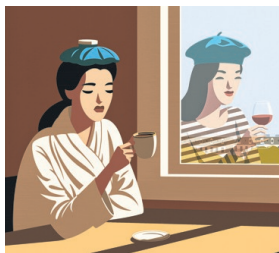
Summer temperatures on the Tube now regularly exceed 30 degrees Celsius, or 86 degrees Fahrenheit, the legal limit for transporting cattle, pigs and sheep in the U.K.

The temperature at the surface doesn’t really affect the temperature in the tube.

Throughout the summer, the tube maintains a fairly constant 86 degrees, while the surface wobbles between lows in the 50s at night and as high as 104 degrees during the day.

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INSIDE



PERSONAL JOURNAL
Traveling abroad? Don’t forget to check your health coverage. **A9**



SPORTS
This golfer has \$30 million in earnings—and he’s never won a PGA tour event. **A12**

Air India Crash Probe Suggests Senior Pilot Cut Off Flow of Fuel

New details in the probe of June’s Air India crash are shifting the focus to the senior pilot in the cockpit.

By Andrew Tangel, Shan Li and Aakash Hassan

A black-box recording of dialogue between the flight’s two pilots indicates it was the captain who turned off switches that controlled fuel flowing to the plane’s two engines, according to people familiar with U.S. officials’ early assessment of evidence uncovered in the crash investigation.

The first officer who was flying the Boeing 787 Dreamliner asked the more-experienced captain why he moved the switches to the cutoff position after it climbed off the runway, these people said.

The first officer expressed surprise and then panicked,

these people said, while the captain seemed to remain calm.

A preliminary report of the probe released last week summarized the exchange but didn’t identify which pilot said what.

The report, by India’s Aircraft Accident Investigation Bureau, said one pilot asked the other why he moved the switches, while the other denied doing so.

Details in the preliminary report also suggest it was the captain who turned off the switches, people familiar with the matter, U.S. pilots and safety experts tracking the probe said.

The report didn’t say whether turning off the switches might have been accidental or deliberate.

The new details could add to understanding of the sequence of events that led to

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Trump Floats Ousting Powell From Fed

President says move is ‘highly unlikely’ after he broached it with lawmakers

By BRIAN SCHWARTZ AND NICK TIMIRAO

WASHINGTON—President Trump consulted with Republican lawmakers this week about the possibility of firing Federal Reserve chair Jerome Powell, but he said Wednesday it remained “highly unlikely” he would move to dismiss the head of the central bank.

“I talked to them about the concept of firing him,” Trump said Wednesday, referring to a closed-door meeting with GOP lawmakers at the White House the previous day. “I said, ‘What do you think?’ Almost all of them said I should. But I’m more conservative than they are.”

The president suggested at Tuesday’s meeting he could move to fire Powell in the near future, according to a senior administration official. On Wednesday, Trump said he is open to the possibility but leaning against it. Powell’s second four-year term expires next May.

“We’re not planning on doing anything,” he said, adding later, “I don’t rule out anything, but I think it’s highly unlikely. Unless he has to leave for fraud.”

The president suggested he could attempt to remove Powell for cause, arguing the central bank spent too much money on renovations of two historic Washington office buildings. The Fed said the project has faced cost overruns in part because of unforeseen construction conditions.

Markets were jolted by news of Trump’s intent to jettison Powell, then they reversed course when Trump said such a move was unlikely. The Dow Jones Industrial Average ended the day up 231 points, or 0.5%, while the S&P 500 gained 0.3%. The dollar was down 0.2% in late afternoon trading, while the 10-year yield was nearly back to where it was in the morning, at around 4.45%.

Trump has for years raised the prospect of firing the Fed chair that he himself nominated during his first term, but he has stopped short of

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◆ **Economy is showing Trump effect..... A2**
◆ **Markets gyrate on talk of firing Fed chief..... B1**